

or Uber. Welcome to the colliding worlds of crowdfunding and cryptoassets.

THE OLD METHOD: THE INVESTOR'S PERSPECTIVE

Up until recently, the first opportunity the average investor had to invest in a company was upon its initial public offering (IPO), when the company's shares began trading on a well-known exchange like the Nasdaq or NYSE. However, leading up to an IPO, the company had likely gone through numerous rounds of private funding. As a private company grows, there are different names for each investing round, starting with a seed round before moving to a Series A, B, C, D, and so on. In each of these rounds, when investors put money into the company, they typically receive a percentage of that company, which is expressed in shares. Such funding is usually open only to venture capitalists, other private equity investors, or wealthy individuals. An IPO converts those private shares into public shares, which are then traded on a public exchange that the everyday investor can get access to.

As the innovative investor can probably infer, the earliest rounds, when the risks are highest, are often the most profitable rounds for an investor if the company succeeds. On one hand, keeping these rounds shielded from the public protects the average citizen from the inherent risks of these early stages of investing, but on the other, it also excludes them from the opportunity. Compounding the issue, over the